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Primary Auction Note – July 2021

In a bid to raise **60 Billion,** Central Bank of Kenya re-opened two fixed bonds **FXD1/2012/15-(6.2yrs)** and **FXD1/2018/15-(11.9yrs)** , and opened a new fixed bond **FXD1/2021/25-(24.9yrs)**. The coupon rates for the bonds were **11.00%, 12.65**% and **13.92%** for the **FXD1/2012/15, FXD1/2018/15** and **FXD1/2021/25** respectively.

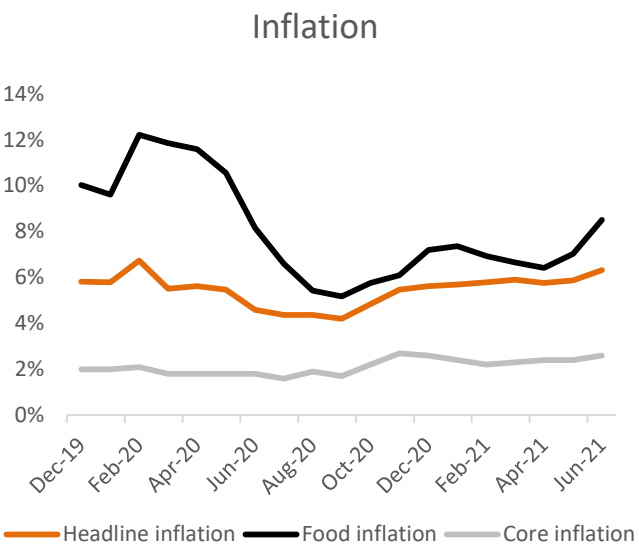
Government's reduced appetite for debt : FY2021/22 has just began and government spending in July is likely to be low while money market liquidity remains elevated. In the current auction, the government is likely to reject aggressive bids as pressure on government borrowing remain muted.

We advise investors to bid within the range of 11.35% to 11.55% for the **FXD1/2012/15-(6.2yr), 12.45%** to **12.65%** for the **FXD1/2018/15-(11.9yr),** and **13.55**% to **13.75**% for the **FXD1/2021/25**.

Secondary Bond Market:

In June, the secondary market activity decreased. Turnover in June, decreased by **10.76%** to **KES 91.79Bn ($851.12Mn)** from **KES 102.86Bn ($956.04Mn)** witnessed in May.

June Inflation:



In June, Headline inflation increased to **6.32%** from **5.87%** in May. The CPI increased by **0.11%** from **114.98** in May to **115.11** in June.

Meanwhile, food and beverage index increased by **0.35%** due to the increase in prices of select food items.

We expect an increase in headline inflation on the back of higher food and fuel prices. Fuel prices are expected to edge higher due to the increase in global economic activity which has exerted upward pressure on global oil demand.

July 12th , 2021

RECOMMENDATION:

6.2- Year FXD1/2012/15

Bid 11.35% to 11.55%

11.9- Year FXD1/2018/15

Bid 12.45% to 12.65%

24.9- Year FXD1/2021/25

Bid 13.55% to 13.75%

Period of Sale: 21/06/2021 to 01/07/2021

Sovereign Credit Rating:

Moody's: B2 (negative)
Fitch: B+ (negative)
S&P: B (stable)

CPI:
(2019=100):
115.11

June Inflation:
6.32%

Interbank rate (30th June 2021):
4.95%

C.B.R (29th March 2021):
7.00%

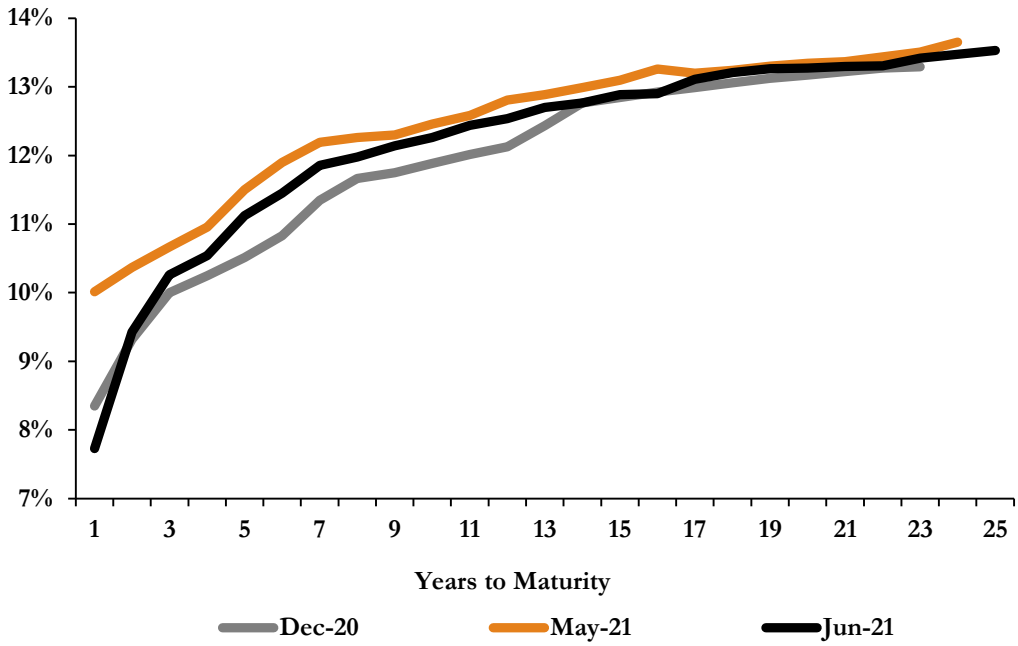
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Interbank

Money market remained relatively liquid during the month of May. The interbank rate increased from **4.76%** as of 31st May to **4.95%** as of 30th June.

The CBK's Monetary Policy Committee (MPC) is expected to meet on 28th July 2021. The committee is expected to maintain the Central Bank rate at 7.00% as it seeks to support economic growth, and inflation remains below its upper target of 7.5%.

NSE Yield Curve



There was a steepening of the yield curve as short-term rates declined. We expect the yield curve to remain relatively unchanged with a downward bias on the short end of the curve.

Currency:

The Kenya Shilling (KES) depreciated against the greenback over the month of June as it lost **0.14%.** On the 30th of June, the KES closed at a value of **KES 107.85/$** versus the **KES 107.59/$** witnessed at the end of May. The depreciation of the KES is likely to reduce the cost of exports while discouraging investments within the country.

CBK's usable foreign exchange reserve increased to **USD 8,114 million** in June from **USD 7.48 billion** at the end of May, representing an increase to **4.96 months** of import cover from **4.57 months** of import cover. The reserves are still sufficient as they remain above the CBK's statutory requirements of four months of import cover.

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